

Stereo. H C J D A-38.
JUDGMENT SHEET
IN THE LAHORE HIGH COURT, LAHORE
JUDICIAL DEPARTMENT

RFA No.66044 of 2025

Sui Northern Gas Pipelines Limited
Versus
M/s Value CNG

J U D G M E N T

Date of hearing: 12.01.2026.
Appellant by: Mr. Nadeem Butt, Advocate.
Respondent by: M/s. Ch. Imran Raza Chadhar and Ch.
Qasim Raza Chadhar, Advocates.

MUHAMMAD SAJID MEHMOOD SETHI, J.-

Through instant appeal, appellant-SNGPL has challenged vires of judgment & decree dated 02.10.2025, passed by learned Additional District Judge / Gas Utility Court, Lahore, whereby appellant's suit for recovery was dismissed for want of evidence by invoking the provisions of Order XVII Rule 3 CPC.

2. Brief facts of the case are that appellant-SNGPL filed suit for recovery of Gas bill amounting to Rs.2,37,72,954/- along with markup and cost of the suit, which was contested by the respondent by filing application for leave to defend the suit, which was allowed and treated as a written statement. Out of the divergent pleadings of the parties, learned Trial Court vide order dated 20.04.2019 framed the following issues:-

ISSUES:

1. Whether the plaintiff is entitled to recover an amount Rs.2,37,72,954/- on account of gas consumption along with markup? OPP
2. If issue No.1 is decided in affirmative, whether the plaintiff is entitled to a decree as prayed for? OPP
3. Whether the suit is barred by time? OPD
4. Whether pendency of the same dispute before OGRA calls for dismissal or sine die adjournment of the suit? OPD

5. Whether the suit is liable to be dismissed with special costs? OPD

6. Relief

After framing of issues, case was fixed for evidence of appellant-SNGPL. Appellant produced Malik Asghar Ali, Superintendent Billing Department SNGPL as PW-1 who tendered his affidavit as *Exh. P1*, authority letter as *Exh. P2*, recovery notice as *Exh. P3*, Sui gas bill as *Exh. P4*, recovery notice as *Exh. P5*, Sui gas bill as *Exh. P6*, legal notice as *Exh. P7*, billing history as *Exh. P8* and statement of account as *Exh. P9* and copies of CNIC and service card as *Mark-A & Mark-B* respectively. Thereafter, case was fixed for appellant's remaining evidence and for cross-examination upon PW-1, however, learned Trial Court vide judgment dated 02.10.2025, discarded the affidavit of PW-1 and closed appellant's right to produce remaining evidence, thereby dismissing the suit for non-production of complete evidence under Order XVII Rule 3 CPC. Hence, instant appeal.

3. Learned counsel for the appellant-SNGPL submits that the learned Gas Utility Court committed a serious error of law and jurisdiction by dismissing the suit under Order XVII Rule 3 CPC, despite the admitted position that the appellant's witness was present in Court, had marked attendance, and was ready to undergo the process of cross-examination. The said provision is attracted only where a party, despite being afforded opportunity, fails to appear or neglects to produce evidence, which was not the case here. He adds that the impugned dismissal was unwarranted and contrary to settled law, as where a witness is present and ready to depose, dismissal under Order XVII Rule 3 CPC is illegal and liable to be set aside. Contrarily, learned counsel for the respondent defends the impugned judgment.

4. I have heard learned counsel for the parties and have perused the record with their assistance. It is an admitted

position that the appellant's witness had already tendered his affidavit-in-evidence along with documentary record and on the fateful date, he was also present before the learned Gas Utility Court as is evident from the order dated 02.10.2025; however, despite this, the learned Trial Court, by invoking the provisions of Order XVII Rule 3 CPC, discarded the affidavit, closed the appellant's right to produce further evidence and dismissed the suit without examining the evidence on record or addressing the merits of the controversy. Such an approach is not in consonance with the true scope and intent of Order XVII Rule 3 CPC.

5. It is settled law that closing the right of evidence and dismissal of a suit under Order XVII Rule 3 CPC, without adherence to due process and without affording a meaningful and effective opportunity to the defaulting party, is neither legally sustainable nor in consonance with the settled principles of natural justice. Such an approach is impermissible particularly where evidence has already been brought on record or where the party or its witness is present and willing to proceed. This view is in complete harmony with the law laid down by the august Supreme Court in Hasham Khan and others v. Haroon-ur-Rashid and others (2022 SCMR 1793), wherein it was authoritatively held that the expression "proceed to decide the suit forthwith" occurring in Order XVII Rule 3 CPC does not authorize a mechanical dismissal of the suit; rather, it obliges the Court to decide the lis on the basis of the material available on record, even in the event of default. Reference can also be made to order dated 08.10.2025, by the Hon'ble Supreme Court of Pakistan in **CPLA No.3470/2025** titled "Irfan Rasheed v. Zawar Muhammad Afzal and others".

6. It is also settled law that procedural law is intended to advance the cause of justice and not to punish a litigant by denying adjudication on merits. Any exercise of power under

Order XVII Rule 3 CPC which results in shutting out a party without examining the evidence already tendered amounts to a misapplication of jurisdiction. In the present case, where the appellant's witness had already tendered his affidavit in evidence along with documentary record and was admittedly present before the learned Trial Court on the relevant date, the Court, while applying provisions of Order XVII Rule 3 CPC, was legally obligated to ask him to come for cross-examination and should also record such fact in its order (order sheet) that a chance was given to the litigant which he had not availed. The outright discarding of such evidence, closure of the right to produce remaining evidence, and dismissal of the suit under Order XVII Rule 3 CPC clearly runs afoul of the law laid down by the Hon'ble Supreme Court in the case reported as Syed Tahir Hussain Mehmoodi and other v. Agha Syed Liaqat Ali and others (2014 SCMR 637).

7. The right to fair trial and due process for the determination of civil rights and obligations is a settled constitutional command enshrined in Article 10-A of the Constitution of the Islamic Republic of Pakistan, 1973. The august Supreme Court in Bashir Ahmad v. Additional District Judge, Hafizabad and others (PLD 2024 Supreme Court 67), para-1, has emphatically held that "courts, from top to bottom, must always remember that while dealing with matters of life, liberty, body, reputation or property of all persons must be dealt with in accordance with law, and that every person appearing before them is entitled to a fair trial and due process for the determination of his civil rights and obligations." The same principle has been reiterated and further explained by the Supreme Court in Zafar Iqbal and another v. Syed Riaz Hussain Shah and others (2025 SCMR 690), wherein it was categorically held that adjudication of civil rights necessarily requires affording parties a meaningful opportunity to lead and

rebut evidence, and that factual controversies “can only be proved through producing their respective evidence by the parties in a properly instituted proceeding,” failing which the determination would offend Article 10-A of the Constitution.

Likewise, in Nabila Hakim Ali Khan v. Government of the Punjab and others (PLD 2025 Lahore 759), it has been authoritatively declared that the guarantees of fair trial and due process under Article 10-A “are to be read as an integral part of every sub-constitutional legislative instrument that deals with the determination of civil rights and obligations of any person.”

8. Resultantly, this petition is **allowed** to the extent that impugned judgment dated 02.10.2025 is set aside and appellant is granted one more opportunity of producing remaining evidence, failing which this appeal shall be deemed to have been dismissed. As the matter pertains to the year 2018, learned Trial Court is directed to decide the suit within a period of **sixty days** from the date of receipt of certified copy of this judgment. Compliance report shall be furnished to this Court through Deputy Registrar (Judicial).

(Muhammad Sajid Mehmood Sethi)
Judge

APPROVED FOR REPORTING

Judge

A.H.S.